

Usually there is nothing that can be done once the judgment is finalized, but I remember this particular case because it had a somewhat happy ending. After some checking around, I found that the leasing company had had several complaints filed against it for reselling repossessed furniture to the original sales outlet at prices substantially below fair market value. I also learned that the retail store had several outstanding lawsuits against it for reselling used furniture as new.

Through a local attorney, we petitioned the court and got a rehearing. The judge withdrew the judgment and directed the leasing company to get three appraisals on the furniture in question as well as verification that the furniture had not been previously owned by another lease holder. The leasing company chose not to pursue the issue and dropped all collection proceedings against the couple. Thus the couple avoided the garnishment but needed the next four years to work out their other financial problems.

Bad Credit Report

In states in which a creditor cannot garnish a debtor's wages and the debt is noncollateralized (such as a credit card loan), the creditor has one last recourse: a bad credit report. Of course creditors will pursue collection through notices and telephone calls. But in the final analysis they must rely on the integrity of the borrower.

The purpose of a credit report is to notify other potential lenders that someone has failed to meet the conditions of a previous contract. The system relies on the fact that in our society people will need additional credit and thus will want to protect their credit rating. For a Christian the responsibility goes even further because the requirement to repay a debt is one of personal honor and integrity.

The reporting of your credit history is controlled by the Fair Credit Reporting Act. Basically this act governs the way a credit report is handled and gives the debtor certain rights.